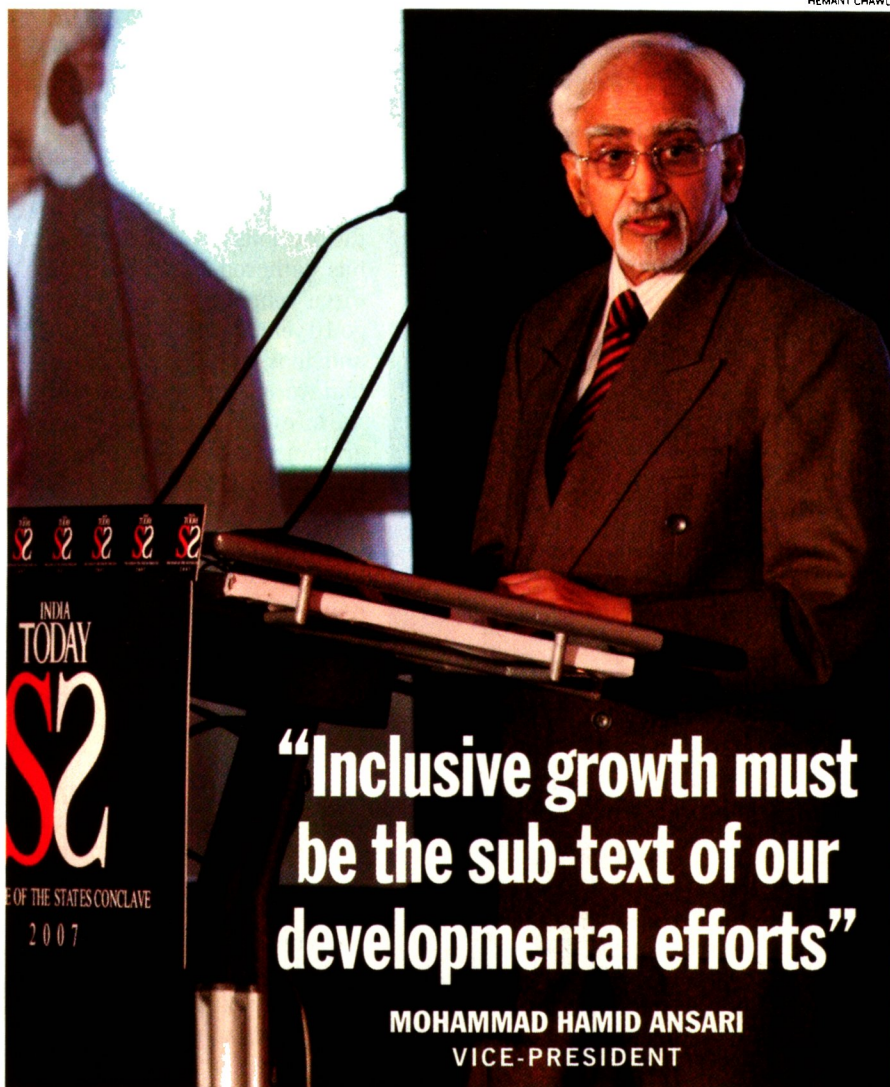


HEMANT CHAWLA



"Inclusive growth must be the sub-text of our developmental efforts"

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VICE-PRESIDENT

The focus of the State of the States report this year, Inclusive Growth, is timely. One cannot but be stuck by the fact that this issue has continued to dominate every critique of governance in India for over a century.

It was at the ninth session of the Indian National Congress at Lahore in 1893 that Dadabhai Naoroji commented and I quote: "The greatest question before you, the question of all questions, is the poverty of India. This will be, I am much afraid, the great future trouble both for the Indian people and of the British rulers. It is the rock ahead." The situation was no different five decades later on the eve of Independence, as is evident from Palme Dutt's observation in 1946 and I quote again: "India is a country of poor people; but it is not a poor country. Between these two lies the problem of the existing social and political order in India."

Thus, a century after Dadabhai

Naoroji's comment, the rock continues to exist and portends the great future trouble. The poverty of India is still the question of all questions. The successes of the Indian economy are good. We have had a real GDP growth of 9.4 per cent for 2006-2007 and an exchange rate per capita GDP of \$880. In purchasing power parity terms, the per capita GDP has climbed to around \$4,000. Our savings and investment rates have increased. There was a gross FDI inflow of \$19.5 billion in 2006-2007 and good reasons exist to believe that there have been productivity and efficiency.

The evident contradiction perplexes observers and leads to two questions. One is—what does this mean for a large segment of our population? And two—what is the true wealth of our nation? Is it the national income and material wealth or are the people of India enabled and empowered our true wealth? If it is the latter, the only meas-

ure of national progress should be the quality of life of our people.

The recently published report of the National Commission for Enterprises in the Unorganised Sector vividly portrays the extent of poverty and vulnerability of a vast section of our people. The sense of satisfaction at the macro-economic situation stands diminished with the realisation that 77 per cent of our population has an income of around Rs 20, half a dollar in exchange rate terms and \$2 in purchasing power parity terms. This poor and vulnerable segment of the Indian population represents the broad category within which the dynamics of poverty alleviation plays out.

While all citizens contribute to the national effort, in public perception there are two Indias—an India focused on wealth accumulation and another India focused on poverty reduction. We have a situation where the richest 10 per cent of the population account for slightly less than 30 per cent of the share of expenditure and the poorest 10 per cent of the population account for less than 5 per cent.

More than income inequalities, what are particularly worrisome are stark human development inequalities that adversely impact life chances and capabilities of our people. We have many examples from around the world, and within the country, where public policy choices have ensured better human development outcome than warranted by the level of economic development. This was done through a conscious focus on income distribution patterns and ensuring that public spending on basic health and education remained high. How does India rank according to these parameters? Public expenditure on education is around 3 per cent of the GDP and on health is around 1 per cent of the GDP, 1.2 per cent to be precise. This is low by any standards, and specially for the extent of poverty in India. Much more needs to be done.

Mahatma Gandhi accepted that his ideal of equal distribution is not realisable. But he advocated equitable distribution as an achievable goal. This goal could be one parameter for assessing the state of states. Inclusive growth could, thus, be the sub-text of all our developmental efforts.